

MSFT: bull vs bear

Equity research from SEC filings. Every number below was verified against the company's filed XBRL data before it was accepted.

Model	gemini-2.5-flash
Retrieval chunker	fixed
Fiscal years	FY2026 vs FY2025
Run date	2026-09-23
Conversation id	63b62eb2f16d4839
Runtime	145.623s
Tokens (in / out)	69,440 / 26,597
Bull claims	6 kept, 0 removed
Bear claims	6 kept, 0 removed

Bull case

1. In fiscal 2026, Microsoft's revenue increased by 17.79% to \$331,839 million from \$281,724 million in fiscal 2025, and net income grew to \$133,749 million from \$101,832 million. [C1] [F1] [F2] [F3] [F4]
2. The company improved its profitability in fiscal 2026, with operating margin increasing by +1.16 percentage points to 46.78% and net margin rising by +4.16 percentage points to 40.31%, alongside a +0.76 percentage points increase in Return on Equity to 34.04%. [C17] [C4] [C18] [C6] [C21] [C14]
3. Microsoft strengthened its solvency in fiscal 2026, as evidenced by a decrease in Debt to Equity by -3.45 percentage points to 9.11% from 12.56% in fiscal 2025. [C20] [C12] [C13]
4. Microsoft's Intelligent Cloud segment revenue increased by \$31.5 billion or 30% in fiscal 2026, primarily driven by server products and cloud services revenue increasing by \$31.0 billion or 31% due to Azure and other cloud services, while the Productivity and Business Processes segment revenue grew by \$19.2 billion or 16% with operating income up \$14.1 billion or 20%. [P12]
5. The company's growth is significantly driven by its AI-enabled services and insights, expansion of Microsoft 365 Commercial to new user segments with AI tools, and the Microsoft Cloud's ability to provide integrated technology stacks, improve time to value, and reduce costs. [P1] [P2] [P3]
6. A Discounted Cash Flow model, using fiscal 2026 free cash flow as the base, indicates an equity value per diluted share of \$162.04. [C22]

Bear case

1. Microsoft's free cash flow decreased to \$66,987 million in fiscal 2026 from \$71,611 million in fiscal 2025. [C8] [C9]
2. The company's gross margin decreased by -0.88 percentage points to 67.94% in fiscal 2026 from 68.82% in fiscal 2025. [C16] [C2] [C3]
3. Microsoft's current ratio decreased by -12.31 percentage points to 123.03% in fiscal 2026 from 135.34% in fiscal 2025. [C19] [C10] [C11]
4. Issues in the development, deployment, and use of AI, such as flawed models, biased data, or harmful content generation, could lead to reputational damage, competitive harm, or legal liabilities for Microsoft. [P9]
5. Microsoft faces risks from regulatory scrutiny, especially concerning AI technologies and children, as well as potential product defects, security vulnerabilities, and ineffective performance, particularly with AI products. [P6] [P7]
6. Economic downturns, market uncertainty, changes in customer IT spending, catastrophic events, geopolitical tensions, and global pandemics can adversely affect Microsoft's results of operations and disrupt its supply chains. [P8] [P10]

Critic log

Every numeric figure is checked in Python against the evidence it cites (value, scale and fiscal year); qualitative statements are checked against the cited 10-K passages. Failed claims go back to their author; claims still failing after the last revision are removed.

Side	Round	Passed	Failed
bull	0	5	1
bull	1	5	1
bull	2	6	0
bear	0	6	0

Bull, round 0: rejected claims

- The company's growth is significantly driven by its AI-enabled services and insights, expansion of Microsoft 365 Commercial to new user segments with AI tools, and the Microsoft Cloud's ability to provide integrated technology stacks, improve time to value, and reduce costs.
unsupported: The claim asserts that the company's *overall growth is significantly driven by* these factors. While the passages mention AI-enabled services, expansion of Microsoft 365 Commercial, and Microsoft Cloud's abilities, they primarily discuss these as factors that *will depend on* or *depend on* for *future growth* of *specific segments/products* (e.g., LinkedIn, Microsoft 365 Commercial/Consumer) or describe the *benefits* and *strategic focus* of the Microsoft Cloud. The passages do not explicitly state that these factors are the significant drivers of the *company's overall growth* in the current or past fiscal year.

Bull, round 1: rejected claims

- Microsoft demonstrated robust financial performance in fiscal 2026, with revenue increasing by 17.79% to \$331,839 million from \$281,724 million in fiscal 2025, and net income growing to \$133,749 million from \$101,832 million.
unsupported: The claim includes a subjective judgment, 'robust financial performance', which is not directly supported by the provided figures alone. While the numerical growth is reported, the characterization of it as 'robust' is an interpretation.

Sources

F = XBRL fact as filed, C = deterministic calculation (inputs listed), P = retrieved 10-K passage.

ID	Evidence	Source
C1	revenue_yoy_growth FY2026: 17.79%	(revenue FY2026 - FY2025) / FY2025 ; inputs: RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
F1	revenue FY2026: \$331,839 million	RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30
F2	revenue FY2025: \$281,724 million	RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
F3	net_income FY2026: \$133,749 million	NetIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30
F4	net_income FY2025: \$101,832 million	NetIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
C17	operating_income_margin_change FY2026: +1.16 percentage points	operating_income_margin FY2026 - FY2025; inputs: OperatingIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; OperatingIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
C4	operating_income_margin FY2026: 46.78%	operating_income / revenue (FY2026); inputs: OperatingIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30
C18	net_income_margin_change FY2026: +4.16 percentage points	net_income_margin FY2026 - FY2025; inputs: NetIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; NetIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
C6	net_income_margin FY2026: 40.31%	net_income / revenue (FY2026); inputs: NetIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30

ID	Evidence	Source
C21	return_on_equity_change FY2026: +0.76 percentage points	return_on_equity FY2026 - FY2025; inputs: NetIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; NetIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2024-06-30
C14	return_on_equity FY2026: 34.04%	net_income FY2026 / avg(shareholders_equity FY2025, FY2026); inputs: NetIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
C20	debt_to_equity_change FY2026: -3.45 percentage points	debt_to_equity FY2026 - FY2025; inputs: LongTermDebt [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; LongTermDebt [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
C12	debt_to_equity FY2026: 9.11%	long_term_debt / shareholders_equity (FY2026); inputs: LongTermDebt [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30
C13	debt_to_equity FY2025: 12.56%	long_term_debt / shareholders_equity (FY2025); inputs: LongTermDebt [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
P12	Item 7 passage \$128,528 21% Reportable Segments Fiscal Year 2026 Compared with Fiscal Year 2025 Productivity and Business Processes Revenue increased \$19.2 billion or 16%. Microsoft 365 Commercial products and cloud services revenue increased \$14.2 billion or 16%. Microsoft 365 Commercial cloud revenue grew 17% with growth in revenue per user driven by Microsoft 365 Copilot and Microsoft 365 E5. Microsoft 36...	MSFT 10-K accn 0001193125-26-323660 (period 2026-06-30), Item 7, fixed-0076
P1	Item 1 passage Premium Subscriptions, and Sales Solutions. Growth will depend on our ability to increase LinkedIn member engagement on the platform and our ability to continue offering insight and AI-enabled services that provide value for our members and customers. LinkedIn revenue is mainly affected by demand from enterprises and professionals for subscriptions to Talent Solutions, Sales Solutions, and Premium...	MSFT 10-K accn 0001193125-26-323660 (period 2026-06-30), Item 1, fixed-0009

ID	Evidence	Source
P2	Item 1 passage ERP and CRM applications. Microsoft 365 Commercial Products and Cloud Services Microsoft 365 Commercial is an AI-powered business and productivity solutions platform that brings together Office, Windows, Microsoft 365 Copilot, and Enterprise Mobility + Security to help organizations empower their employees. Growth depends on our ability to reach new users in new markets such as frontline workers, ...	MSFT 10-K accn 0001193125-26-323660 (period 2026-06-30), Item 1, fixed-0008
P3	Item 1 passage cases, changes the very core of products and services. 3 PART I Item 1 The Microsoft Cloud provides integration across the technology stack while offering openness, improving time to value, reducing costs, and increasing agility. Our cloud business benefits from three economies of scale: datacenters that deploy computational resources at significantly lower cost per unit than smaller ones; datacen...	MSFT 10-K accn 0001193125-26-323660 (period 2026-06-30), Item 1, fixed-0005
C22	dcf_value_per_share FY2026: \$162.04 per share	(PV of 5y FCF at g=0.06 + PV terminal at g=0.025, r=0.09) + cash - debt, / diluted_shares (base FY2026); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; CashAndCashEquivalentsAtCarryingValue [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; LongTermDebt [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; WeightedAverageNumberOfDilutedSharesOutstanding [shares] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30
C8	free_cash_flow FY2026: \$66,987 million	operating_cash_flow - capex (FY2026); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30
C9	free_cash_flow FY2025: \$71,611 million	operating_cash_flow - capex (FY2025); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
C16	gross_profit_margin_change FY2026: -0.88 percentage points	gross_profit_margin FY2026 - FY2025; inputs: GrossProfit [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; GrossProfit [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
C2	gross_profit_margin FY2026: 67.94%	gross_profit / revenue (FY2026); inputs: GrossProfit [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30

ID	Evidence	Source
C3	gross_profit_margin FY2025: 68.82%	gross_profit / revenue (FY2025); inputs: GrossProfit [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
C19	current_ratio_change FY2026: -12.31 percentage points	current_ratio FY2026 - FY2025; inputs: AssetsCurrent [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; LiabilitiesCurrent [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; AssetsCurrent [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; LiabilitiesCurrent [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
C10	current_ratio FY2026: 123.03%	current_assets / current_liabilities (FY2026); inputs: AssetsCurrent [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; LiabilitiesCurrent [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30
C11	current_ratio FY2025: 135.34%	current_assets / current_liabilities (FY2025); inputs: AssetsCurrent [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; LiabilitiesCurrent [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
P9	Item 1A passage and software from multiple vendors whose products or personnel may take or fail to take actions which impact the reliability or security of our products and services. If our products and services do not work as intended, are utilized in methods not intended, violate the law, or harm individuals or businesses, we may be subject to legal claims or enforcement actions. These risks, if realized, may i...	MSFT 10-K accn 0001193125-26-323660 (period 2026-06-30), Item 1A, fixed-0043
P6	Item 1A passage actions may require us to make substantial investments in people and technology and these investments may not be successful, adversely affecting our business, financial condition, and results of operations. Other digital safety abuses Our services may be used to find, generate, store, or disseminate harmful or illegal content in violation of our terms or applicable law. We may not proactively disc...	MSFT 10-K accn 0001193125-26-323660 (period 2026-06-30), Item 1A, fixed-0042
P7	Item 1A passage or permanent loss of customer data, outages, insufficient Internet connectivity, insufficient or unavailable power or water supply, inefficient operation of our of our cloud-based and AI products and services on our infrastructure, or inadequate storage and compute capacity could diminish the actual or perceived quality of our products, services, and user experience, resulting in contractual liabi...	MSFT 10-K accn 0001193125-26-323660 (period 2026-06-30), Item 1A, fixed-0048
P8	Item 1A passage changes in economic conditions, periods of economic uncertainty, evolution of customer demand, technology investment cycles, interest rates, foreign exchange rates, or the timing and mix of customer spending, may cause lower or delayed IT spending and adversely affect our results of operations. If demand for computing power, PCs, servers, and other computing devices declines, or consumer or busine...	MSFT 10-K accn 0001193125-26-323660 (period 2026-06-30), Item 1A, fixed-0058

ID	Evidence	Source
P10	Item 1A passage risks described elsewhere in these risk factors. 27 PART I Item 1A The occurrence of regional epidemics or a global pandemic could adversely affect our business, operations, financial condition, and results of operations. The extent to which global pandemics impact our business going forward will depend on factors such as the duration and scope of the pandemic; governmental, business, and individu...	MSFT 10-K accn 0001193125-26-323660 (period 2026-06-30), Item 1A, fixed-0060